

is generally taken for granted. It is commonly thought that investment, in this special sense, is good for everybody and at all times. Speculation, on the other hand, may be good or bad, depending on the conditions and the person who speculates. It should be essential, therefore, for anyone engaging in financial operations to know whether he is investing or speculating and, if the latter, to make sure that his speculation is a justifiable one.

The difference between investment and speculation, when the two are thus opposed, is understood in a general way by nearly everyone; but when we try to formulate it precisely, we run into perplexing difficulties. In fact something can be said for the cynic's definition that an investment is a successful speculation and a speculation is an unsuccessful investment. It might be taken for granted that United States government securities are an investment medium, while the common stock, say, of Radio Corporation of America—which between 1931 and 1935 had neither dividends, earnings, nor tangible assets behind it—must certainly be a speculation. Yet operations of a definitely speculative nature may be carried on in United States government bonds (*e.g.*, by specialists who buy large blocks in anticipation of a quick rise); and on the other hand, in 1929 Radio Corporation of America common was widely regarded as an investment, to the extent in fact of being included in the portfolios of leading "Investment Trusts."

It is certainly desirable that some exact and acceptable definition of the two terms be arrived at, if only because we ought as far as possible to know what we are talking about. A more forceful reason, perhaps, might be the statement that the failure properly to distinguish between investment and speculation was in large measure responsible for the market excesses of 1928–1929 and the calamities that ensued—as well as, we think, for much continuing confusion in the ideas and policies of would-be investors. On this account we shall give the question a more thoroughgoing study than it usually receives. The best procedure might be first to examine critically the various meanings commonly intended in using the two expressions, and then to endeavor to crystallize therefrom a single sound and definite conception of investment.

Distinctions Commonly Drawn Between the Two Terms. The chief distinctions in common use may be listed in the following table: